Number	Date	Description of Transaction	C	Debit (-)	Credit (+)	Balance
DEP	11/4/14	Invoice # 101—Website			$595	$7,952
106	11/6/14	Copier Paper/DVDs		$75		$7,877
DEP	11/8/14	Invoice #105—Brochure			$400	$8,277
107	11/8/14	Shipping/Postage		$40		$8,237
108	11/15/14	Office Rent		$600		$7,637

Note that, even though a loan for the computer was made, the cash basis only reflects the payment. In the cash basis, all of the deposits and payments are only recorded when they occur. A checkbook register (and most banking software) serves as the journal of activity.

While this approach is simple to understand, it does not accurately match expenses and revenues. You could easily incur a large amount of expenses in November and December but not get paid until January. So the expenses would be higher this year, with no matching revenue, while next year the revenue will be higher without matching expenses.

Accrual Basis

The Accrual Basis approach, while a bit more involved, does a much better job of associating revenues with the expenses that belong with them. The revenue is recognized as soon as it is earned, not when payment is received. The expenses are recorded when they occur, not when you pay for them.

With the accrual basis, you will need to create additional accounts called Receivables (money owed us) and Payables (money we owe). The recording of revenue for a credit sale is now two journal entries: the first, records the sale and the receivable records it when the sale is made:

	Account #	Description	Debit	Credit
	4000	Sales		$2,500
	1100	Accounts Receivable	$2,500	

Accounts Receivable is considered an asset so we increase it by debiting its balance. Hopefully, within a short period of time, we will close the Accounts Receivable by moving the money into the cash/checking account: